

Apple

NASDAQ : \$4842.8B mkt cap · 14.78B sh · \$54.7B cash, \$90.7B debt · Net debt ~\$36B (\$54.7B cash vs ~\$90.7B total debt); ~14.78B shares, shrinking on a fresh \$100B buyback + dividend raise; Revenue \$416B FY25 (+6%); GAAP op margin ~32%; FCF ~\$99B; Services ~\$31B/quarter at ~70%+ gross margin; ~\$291 (Jun 2026), +56% TTM, near the ~\$315 ATH; iPhone ~50% of revenue, Greater China reaccelerating (+28%)  
Mature-Company DCF

\$327.74

THE CENTRAL QUESTION

Does a mid-single-digit grower at ~43x FCF, with AI outsourced to Gemini and a ~\$20B/yr Google-payment cliff, justify a premium the modal can't underwrite?

Apple trades at ~\$4.30T (~\$291/sh, +56% TTM) - about 43x ~\$99B FCF on \$416B mid-single-digit revenue, with ~\$36B net debt. Services compounds mid-teens at ~70%+ gross margin, but iPhone is still ~50% of revenue, AI is outsourced to Gemini, and the ~\$20B/yr Google search payment faces a DOJ rebid. The DCF resolves whether quality justifies the multiple: weighted -34.5%, modal ~\$188 (-35%).

PROBABILITY-WEIGHTED EXPECTED VALUE

\$190.57

expected fair value today  
-41.9% vs spot \$327.74

FORWARD COMPOUNDED VALUE

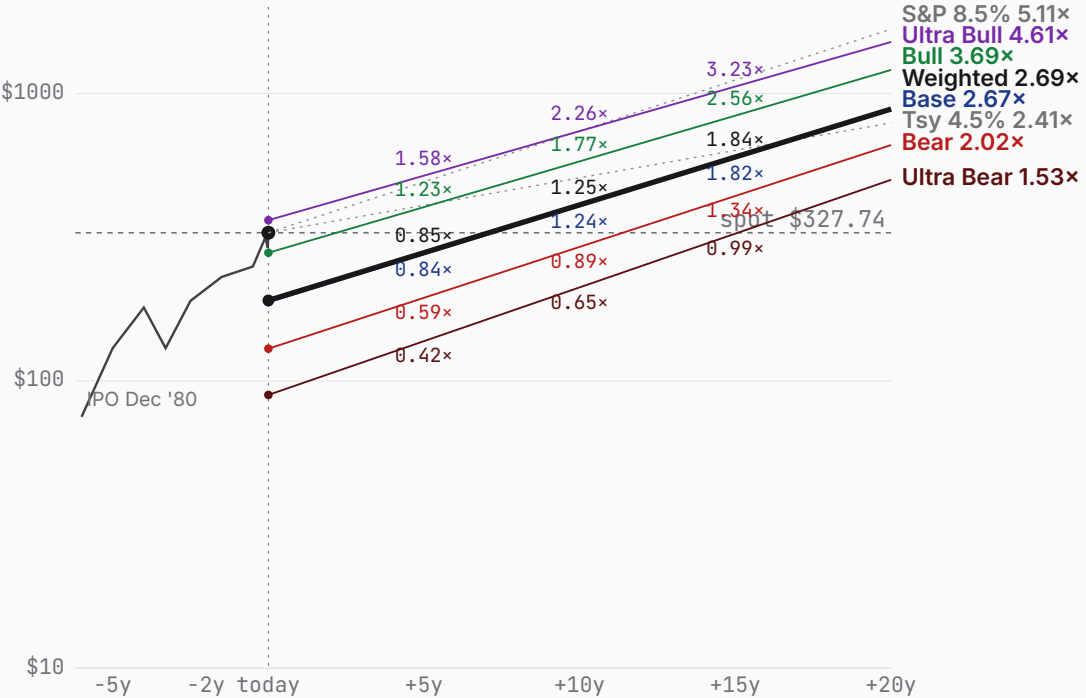
| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$279.41   | \$409.85   | \$601.45   | \$883.03   |
| 0.85x spot | 1.25x spot | 1.84x spot | 2.69x spot |

WEIGHTING RATIONALE

- Ultra Bear 13% iPhone stalls and the Services tails crystallize; ~\$89 (-69%).
- Bear 27% Low-single-digit growth; the multiple compresses; ~\$129 (-55%).
- Base 33% Services compounds, iPhone steady, but still rich; ~\$188 (-35%).
- Bull 19% AI-era ecosystem deepens and search risk fades; ~\$279 (-4%).
- Ultra Bull 8% Services step-change; FCF/share compounds; ~\$362 (+25%).

Bull (19%) + Ultra Bull (8%) together contribute \$82.04 — 43% of the \$190.57 expected value despite 27% combined probability. Today's spot (\$327.74) sits 72% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                  | \$89.39        | BEAR                                          | \$129.46       | BASE                                           | \$187.74       | BULL                                         | \$279.18       | ULTRA BULL                                      | \$362.45       |
|---------------------------------------------|----------------|-----------------------------------------------|----------------|------------------------------------------------|----------------|----------------------------------------------|----------------|-------------------------------------------------|----------------|
|                                             | -72.7% vs spot |                                               | -60.5% vs spot |                                                | -42.7% vs spot |                                              | -14.8% vs spot |                                                 | +10.6% vs spot |
| CAGR +2.0% WACC 9.0%<br>CAGR +2.0% Prob 13% |                | CAGR +4.4% WACC 8.5%<br>CAGR +4.4% Prob 27%   |                | CAGR +6.2% WACC 8.0%<br>CAGR +6.2% Prob 33%    |                | CAGR +8.2% WACC 7.6%<br>CAGR +8.2% Prob 19%  |                | CAGR +10.0% WACC 7.4%<br>CAGR +10.0% Prob 8%    |                |
| iPhone stalls; Services tails crystallize.  |                | Low-single-digit growth; multiple compresses. |                | Services compounds; iPhone steady; still rich. |                | AI-era ecosystem deepens; search risk fades. |                | Services step-change; FCF/share compounds hard. |                |

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2EB

ALAMEDA RESEARCH  
2: ELECTRIC BOOGALOO  
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Apple scenario narratives

PROBABILITY WEIGHTS

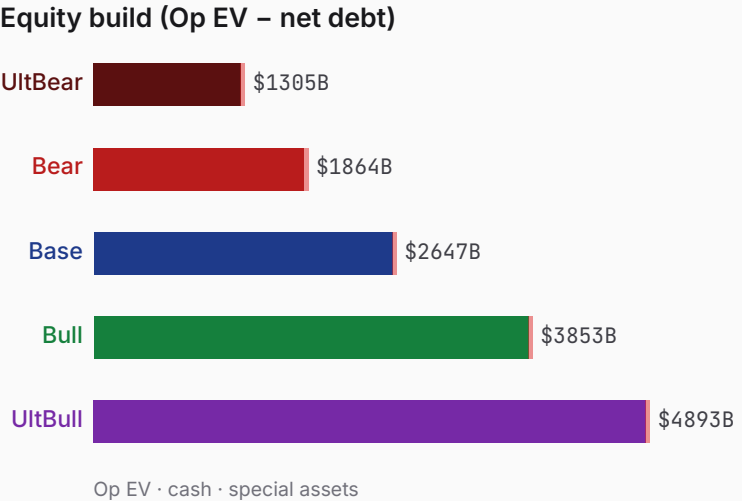
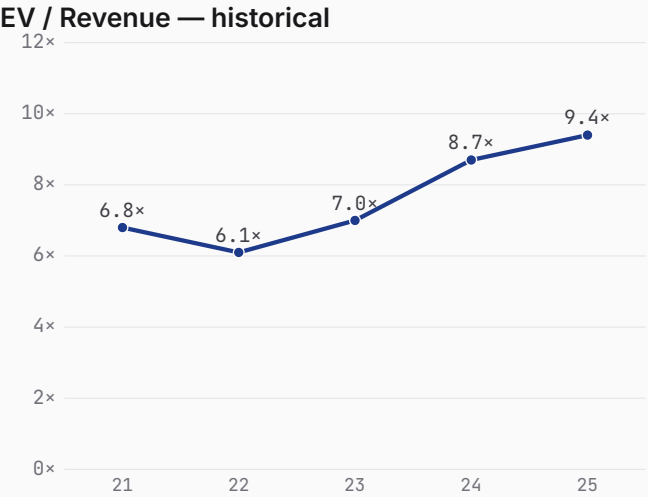
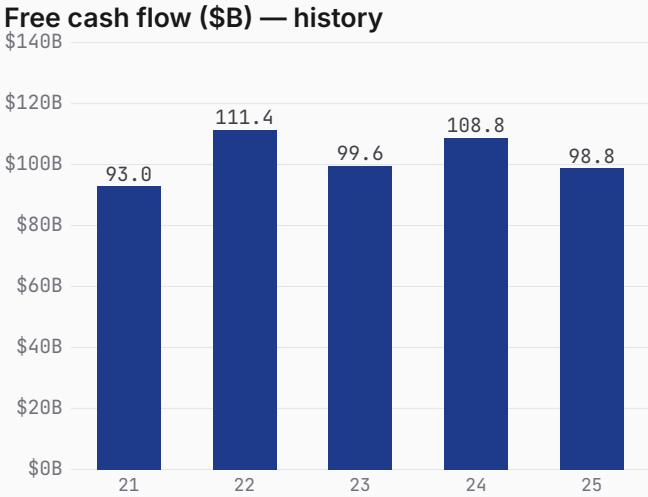
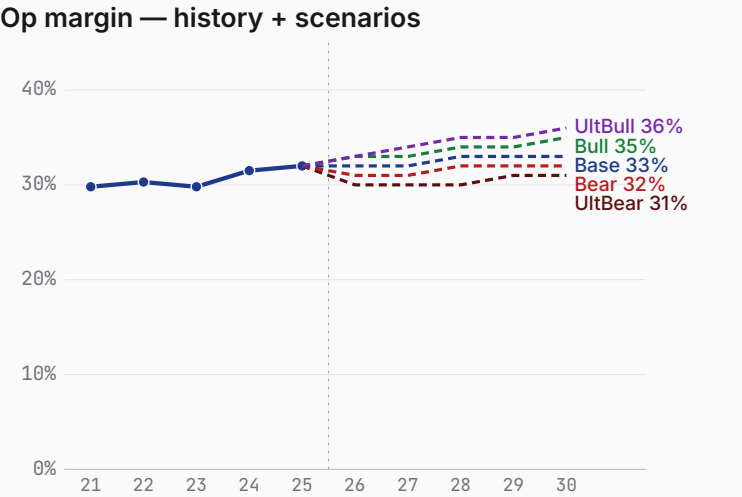
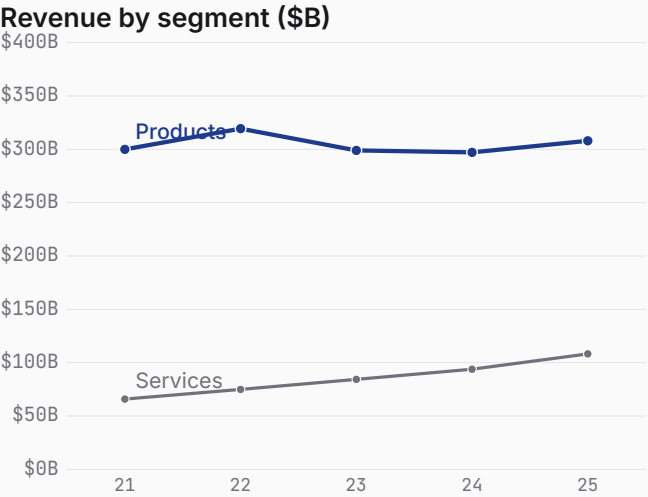
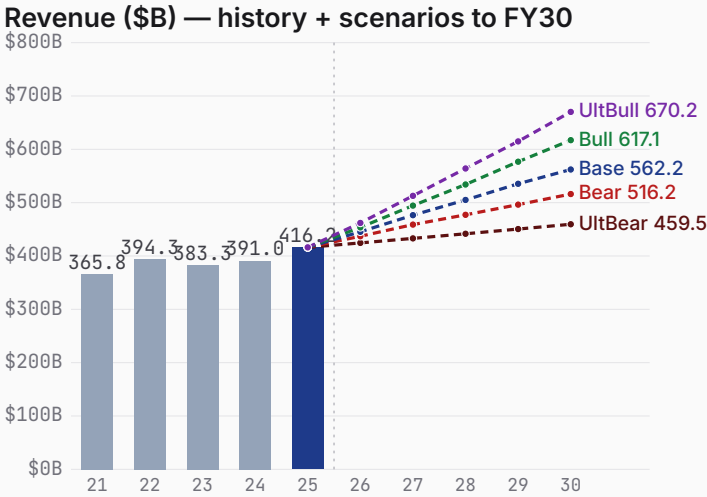
Ultra Bear 13% Bear 27% Base 33% Bull 19% Ultra Bull 8% · Weighted expected \$190.57 (-41.9% vs spot)

| ULTRA BEAR                                                                                                                                                                                                                                                                                                                                                                   | \$89.39        | BEAR                                                                                                                                                                                                                                                                                | \$129.46       | BASE                                                                                                                                                                                                                                                                                                                | \$187.74       | BULL                                                                                                                                                                                                                                                                                                            | \$279.18       | ULTRA BULL                                                                                                                                                                                                                                                                                    | \$362.45       |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
|                                                                                                                                                                                                                                                                                                                                                                              | -72.7% vs spot |                                                                                                                                                                                                                                                                                     | -60.5% vs spot |                                                                                                                                                                                                                                                                                                                     | -42.7% vs spot |                                                                                                                                                                                                                                                                                                                 | -14.8% vs spot |                                                                                                                                                                                                                                                                                               | +10.6% vs spot |
| Probability 13%                                                                                                                                                                                                                                                                                                                                                              |                | Probability 27%                                                                                                                                                                                                                                                                     |                | Probability 33%                                                                                                                                                                                                                                                                                                     |                | Probability 19%                                                                                                                                                                                                                                                                                                 |                | Probability 8%                                                                                                                                                                                                                                                                                |                |
| iPhone stalls; Services tails crystallize.                                                                                                                                                                                                                                                                                                                                   |                | Low-single-digit growth; multiple compresses.                                                                                                                                                                                                                                       |                | Services compounds; iPhone steady; still rich.                                                                                                                                                                                                                                                                      |                | AI-era ecosystem deepens; search risk fades.                                                                                                                                                                                                                                                                    |                | Services step-change; FCF/share compounds hard.                                                                                                                                                                                                                                               |                |
| WHY 13%                                                                                                                                                                                                                                                                                                                                                                      |                | WHY 27%                                                                                                                                                                                                                                                                             |                | WHY 33%                                                                                                                                                                                                                                                                                                             |                | WHY 19%                                                                                                                                                                                                                                                                                                         |                | WHY 8%                                                                                                                                                                                                                                                                                        |                |
| The genuine bear: iPhone is ~50% of revenue and partly pulled forward, the search payment must be rebid annually under the DOJ ruling, and App Store fees face regulatory pressure on two continents. 13% weight on the tails crystallizing together.                                                                                                                        |                | Share and ecosystem hold, but mid-single-digit growth can't carry a premium multiple while the search-payment and fee tails hang over Services. 27% as the plausible 'durable but slow' path.                                                                                       |                | Requires Services to keep compounding and the iPhone base to stay sticky through the AI-platform shift — consistent with FQ2's record Services and China rebound, but not a re-acceleration. 33% as the central, still-rich outcome.                                                                                |                | Services + the AI-era ecosystem stay sticky, the search payment holds, and China momentum continues — the FQ2 trends extended. ~19% weight on the franchise compounding without the tails biting.                                                                                                               |                | Everything compounds — Services AND margins AND buyback leverage AND no regulatory hit — the quality-compounder outcome. ~8%, the long-duration tail that justifies the premium if it lands.                                                                                                  |                |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                                 |                | WHAT HAPPENS                                                                                                                                                                                                                                                                        |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                        |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                    |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                  |                |
| The hardware engine flattens and the twin regulatory tails land: iPhone revenue stagnates as the upgrade super-cycle pays back, the ~\$20B/yr Google search payment is cut or competed away, and EU/US App Store fee erosion bites high-margin Services. Revenue grows ~2%/yr and FCF margin compresses toward ~20% as the mix shifts away from the most profitable dollars. |                | Apple keeps the ecosystem but the growth stays muted: iPhone replacement cycles lengthen, Services compounds but off a base partly funded by the at-risk search payment, and tariff/India cost drag (~5-8% premium) trims gross margin. Revenue compounds ~4% at a ~23% FCF margin. |                | The modal path: Services compounds mid-teens at ~70%+ gross margin on a 2.5B+ installed base, the iPhone 17 cycle and China reacceleration keep hardware steady, and the Gemini-powered Siri keeps users locked in. Revenue compounds ~6% to ~\$555B at a ~25% FCF margin, with buybacks shrinking the share count. |                | The ecosystem wins the AI era on someone else's model: the Gemini-powered Apple Intelligence raises engagement and Services attach, the search payment survives the rebid intact, and the installed base feeds a higher-margin Services mix. Revenue compounds ~8% to ~\$600B and FCF margin lifts toward ~27%. |                | The full upside: Services reaccelerates on AI features and new monetization, hardware finds a fresh wedge (wearables, new categories), gross margin holds near 49%, and the ~\$100B buyback compounds FCF/share on a shrinking count. Revenue compounds ~10% to ~\$640B at a ~30% FCF margin. |                |
| A flat hardware franchise losing its richest Services rents re-rates to a mid-teens FCF multiple → DCF ~\$89 (-69%). Net debt offers no cushion here; the de-rate is the multiple meeting the growth.                                                                                                                                                                        |                | DCF ~\$129 (-55%) — a durable but slow-growing franchise at ~19x terminal FCF is worth well below 43x; the gap between today's multiple and mid-single-digit growth is the whole bear.                                                                                              |                | DCF ~\$188 (-35%) — even crediting durable Services growth and a defended ecosystem, a ~23x terminal FCF multiple lands well below the ~43x paid today; the modal case says the price embeds quality and safety beyond what the cash flows underwrite.                                                              |                | DCF ~\$279 (-4%) — even the bull only reaches roughly today's price; an upper-single-digit grower at a sustained high-20s FCF multiple essentially validates spot rather than beating it.                                                                                                                       |                | DCF ~\$362 (+25%) — the only scenario that clears spot, and only if Services takes a genuine step-change and the multiple stays in the low-30s. ~8% probability, the asymmetric upside the premium is paying for.                                                                             |                |

Apple business snapshot

Bear \$129.46 Base \$187.74 Bull \$279.18

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Sept · FQ2 2026 (Apr-2026) results



Sources: SEC XBRL company facts (CIK 320193; revenue, GAAP operating income/margin, cash flow, debt), Apple FQ2 2026 release (revenue \$111.2B +17%, iPhone \$56.99B +22%, Services \$30.98B +16% at an all-time high, Greater China \$20.5B +28%, gross margin 49.3% guided down to 47.5-48.5% on higher memory cost). Revenue modeled as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs mega-cap peers (MSFT/GOOGL/NVDA).

# Apple 7 Powers · the moat, scored

Bear \$129.46 Base \$187.74 Bull \$279.18

**Arena.** Premium consumer hardware + a high-margin Services ecosystem - Apple vs Samsung/Google (phones), Microsoft/Google (platforms/AI), and the App Store/payments field; auditing a branding + switching-costs Power against the AI-platform shift.

**POWER AUDIT**  
dominant-power durability: high

POWER AUDIT · 7 POWERS

|                                            |                                                                                                                                                                         |
|--------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Scale Economies</b><br>■■■              | Massive purchasing/manufacturing and R&D scale across ~\$416B revenue; among the deepest in consumer tech, though not the single dominant Power.                        |
| <b>Network Economies</b><br>■■■            | iMessage/FaceTime/AirDrop and the developer ecosystem create modest network pull, but the lock-in is more switching cost than true network effect.                      |
| <b>Counter-Positioning</b><br>■            | Largely the incumbent now; the privacy-and-integration stance differentiates but rivals can and do copy it - not a structural counter-position.                         |
| <b>Switching Costs</b><br>■■■              | Deep ecosystem lock-in: iCloud, App Store purchases, Watch/AirPods/Mac continuity, iMessage - leaving means abandoning a connected device estate; a core durable Power. |
| <b>Branding</b> · thesis leans here<br>■■■ | The strongest Power: the premium global brand commands pricing power and ~49% gross margin and anchors a 2.5B+ installed base; decades-durable.                         |
| <b>Cornered Resource</b><br>■■■            | In-house silicon (A/M-series) is a real edge and the developer base is sticky, but neither is a fully cornered, irreplaceable resource.                                 |
| <b>Process Power</b><br>■■■                | World-class supply-chain and silicon-design execution (Cook's operational machine); a genuine but partly replicable advantage.                                          |

PEER SET

|                                                                                                                                      |                             |
|--------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|
| <b>Samsung</b><br>The premium-Android hardware rival; competes on phones/wearables but lacks Apple's Services ecosystem and margin.  | 5% gr · 10% mgn · ~12x P/E  |
| <b>Alphabet (GOOGL)</b><br>Owns Android + Gemini; the AI-platform threat and Apple's ~\$20B search-payment counterparty all at once. | 15% gr · 32% mgn · ~24x P/E |
| <b>Microsoft (MSFT)</b><br>The other quality mega-cap compounder; the platform/AI peer Apple's multiple is benchmarked against.      | 13% gr · 45% mgn · ~33x P/E |
| <b>Samsung Electronics / Xiaomi</b><br>High-volume Android OEMs pressuring iPhone share in China/India at lower price points.        | 8% gr · 8% mgn · ~10x P/E   |

THREAT VECTORS · FALSIFIERS

|                                                                                                                                                                                                                                        |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Switching Costs</b> · The AI-platform shift (Gemini/agent layer)<br><b>falsifier:</b> An AI agent layer that disintermediates the iOS interface and erodes ecosystem lock-in - measurable as Services attach/engagement flattening. |
| <b>Branding</b> · Regulators (DOJ search remedy + EU/US App Store)<br><b>falsifier:</b> The ~\$20B Google search payment is cut on rebid and App Store fee remedies take hold, draining the highest-margin Services dollars.           |
| <b>Scale Economies</b> · Tariffs + India supply shift<br><b>falsifier:</b> Gross margin slips below ~46% as the ~5-8% India cost premium and tariff drag (~\$900M/quarter) outrun price.                                               |

COMPETITIVE READ

Apple's brand is the strongest single Power in this set - a premium global franchise with ~49% gross margin and pricing power - reinforced by deep ecosystem switching costs and immense scale; durability is high. But the live threat is the AI-platform shift: with Apple Intelligence outsourced to Gemini, the next interface may run on someone else's model, and that same counterparty anchors a ~\$20B/yr search payment now exposed to a DOJ rebid. The Powers are durable; the question the DCF presses is price, not moat. A mid-single-digit grower at ~43x FCF carries a premium even the bull (~\$279, -4%) barely justifies, and the modal case lands ~\$188 (-35%).

Apple show your work

Bear \$129.46 Base \$187.74 Bull \$279.18 · Weighted \$190.57 (-41.9%)

| ULTRA BEAR                                |          |          |          |        | \$89.39    |          |          |          |        | BEAR                                      |          |          |          |        | \$129.46   |          |          |            |         | BASE                                      |          |            |            |         | \$187.74   |          |            |            |         | BULL                                      |          |            |            |         | \$279.18   |  |  |  |  | ULTRA BULL                                |  |  |  |  | \$362.45   |  |  |  |  |
|-------------------------------------------|----------|----------|----------|--------|------------|----------|----------|----------|--------|-------------------------------------------|----------|----------|----------|--------|------------|----------|----------|------------|---------|-------------------------------------------|----------|------------|------------|---------|------------|----------|------------|------------|---------|-------------------------------------------|----------|------------|------------|---------|------------|--|--|--|--|-------------------------------------------|--|--|--|--|------------|--|--|--|--|
| ASSUMPTIONS                               |          |          |          |        |            |          |          |          |        | ASSUMPTIONS                               |          |          |          |        |            |          |          |            |         | ASSUMPTIONS                               |          |            |            |         |            |          |            |            |         | ASSUMPTIONS                               |          |            |            |         |            |  |  |  |  | ASSUMPTIONS                               |  |  |  |  |            |  |  |  |  |
| 5y revenue CAGR (%)                       |          |          |          |        | +2.0       |          |          |          |        | 5y revenue CAGR (%)                       |          |          |          |        | +4.4       |          |          |            |         | 5y revenue CAGR (%)                       |          |            |            |         | +6.2       |          |            |            |         | 5y revenue CAGR (%)                       |          |            |            |         | +8.2       |  |  |  |  | 5y revenue CAGR (%)                       |  |  |  |  | +10.0      |  |  |  |  |
| Year-5 op margin (%)                      |          |          |          |        | 31.0       |          |          |          |        | Year-5 op margin (%)                      |          |          |          |        | 32.0       |          |          |            |         | Year-5 op margin (%)                      |          |            |            |         | 33.0       |          |            |            |         | Year-5 op margin (%)                      |          |            |            |         | 35.0       |  |  |  |  | Year-5 op margin (%)                      |  |  |  |  | 36.0       |  |  |  |  |
| WACC (%)                                  |          |          |          |        | 9.0        |          |          |          |        | WACC (%)                                  |          |          |          |        | 8.5        |          |          |            |         | WACC (%)                                  |          |            |            |         | 8.0        |          |            |            |         | WACC (%)                                  |          |            |            |         | 7.6        |  |  |  |  | WACC (%)                                  |  |  |  |  | 7.4        |  |  |  |  |
| Terminal growth (%)                       |          |          |          |        | 2.5        |          |          |          |        | Terminal growth (%)                       |          |          |          |        | 3.0        |          |          |            |         | Terminal growth (%)                       |          |            |            |         | 3.5        |          |            |            |         | Terminal growth (%)                       |          |            |            |         | 4.0        |  |  |  |  | Terminal growth (%)                       |  |  |  |  | 4.0        |  |  |  |  |
| 5y revenue CAGR (%)                       |          |          |          |        | +2.0       |          |          |          |        | 5y revenue CAGR (%)                       |          |          |          |        | +4.4       |          |          |            |         | 5y revenue CAGR (%)                       |          |            |            |         | +6.2       |          |            |            |         | 5y revenue CAGR (%)                       |          |            |            |         | +8.2       |  |  |  |  | 5y revenue CAGR (%)                       |  |  |  |  | +10.0      |  |  |  |  |
| Starting revenue (\$B)                    |          |          |          |        | 416.20     |          |          |          |        | Starting revenue (\$B)                    |          |          |          |        | 416.20     |          |          |            |         | Starting revenue (\$B)                    |          |            |            |         | 416.20     |          |            |            |         | Starting revenue (\$B)                    |          |            |            |         | 416.20     |  |  |  |  | Starting revenue (\$B)                    |  |  |  |  | 416.20     |  |  |  |  |
| Scenario probability (%)                  |          |          |          |        | 13         |          |          |          |        | Scenario probability (%)                  |          |          |          |        | 27         |          |          |            |         | Scenario probability (%)                  |          |            |            |         | 33         |          |            |            |         | Scenario probability (%)                  |          |            |            |         | 19         |  |  |  |  | Scenario probability (%)                  |  |  |  |  | 8          |  |  |  |  |
| 5-YEAR DCF · \$B                          |          |          |          |        |            |          |          |          |        | 5-YEAR DCF · \$B                          |          |          |          |        |            |          |          |            |         | 5-YEAR DCF · \$B                          |          |            |            |         |            |          |            |            |         | 5-YEAR DCF · \$B                          |          |            |            |         |            |  |  |  |  | 5-YEAR DCF · \$B                          |  |  |  |  |            |  |  |  |  |
| FY                                        | Rev      | Margin   | FCF      | PV FCF | FY         | Rev      | Margin   | FCF      | PV FCF | FY                                        | Rev      | Margin   | FCF      | PV FCF | FY         | Rev      | Margin   | FCF        | PV FCF  | FY                                        | Rev      | Margin     | FCF        | PV FCF  | FY         | Rev      | Margin     | FCF        | PV FCF  | FY                                        | Rev      | Margin     | FCF        | PV FCF  |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| FY26                                      | 424.52   | +30%     | +84.91   | +77.89 | FY26       | 437.01   | +31%     | +96.14   | +88.61 | FY26                                      | 445.33   | +32%     | +102.43  | +94.84 | FY26       | 453.66   | +33%     | +108.88    | +101.19 | FY26                                      | 461.98   | +33%       | +115.50    | +107.54 | FY26       | 461.98   | +33%       | +115.50    | +107.54 | FY26                                      | 461.98   | +33%       | +115.50    | +107.54 |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| FY27                                      | 433.01   | +30%     | +86.60   | +72.89 | FY27       | 458.86   | +31%     | +100.95  | +85.75 | FY27                                      | 476.51   | +32%     | +114.36  | +98.05 | FY27       | 494.49   | +33%     | +123.62    | +106.78 | FY27                                      | 512.80   | +34%       | +133.33    | +115.59 | FY27       | 512.80   | +34%       | +133.33    | +115.59 | FY27                                      | 512.80   | +34%       | +133.33    | +115.59 |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| FY28                                      | 441.67   | +30%     | +92.75   | +71.62 | FY28       | 477.21   | +32%     | +109.76  | +85.93 | FY28                                      | 505.10   | +33%     | +121.22  | +96.23 | FY28       | 534.05   | +34%     | +138.85    | +111.46 | FY28                                      | 564.08   | +35%       | +157.94    | +127.49 | FY28       | 564.08   | +35%       | +157.94    | +127.49 | FY28                                      | 564.08   | +35%       | +157.94    | +127.49 |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| FY29                                      | 450.51   | +31%     | +94.61   | +67.02 | FY29       | 496.30   | +32%     | +114.15  | +82.37 | FY29                                      | 535.40   | +33%     | +133.85  | +98.38 | FY29       | 576.77   | +34%     | +155.73    | +116.18 | FY29                                      | 614.85   | +35%       | +178.31    | +134.01 | FY29       | 614.85   | +35%       | +178.31    | +134.01 | FY29                                      | 614.85   | +35%       | +178.31    | +134.01 |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| FY30                                      | 459.52   | +31%     | +96.50   | +62.72 | FY30       | 516.16   | +32%     | +118.72  | +78.95 | FY30                                      | 562.17   | +33%     | +140.54  | +95.65 | FY30       | 617.14   | +35%     | +166.63    | +115.53 | FY30                                      | 670.18   | +36%       | +201.06    | +140.70 | FY30       | 670.18   | +36%       | +201.06    | +140.70 | FY30                                      | 670.18   | +36%       | +201.06    | +140.70 |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| Σ PV explicit FCF                         |          |          |          |        | +352.15    |          |          |          |        | Σ PV explicit FCF                         |          |          |          |        | +421.61    |          |          |            |         | Σ PV explicit FCF                         |          |            |            |         | +483.15    |          |            |            |         | Σ PV explicit FCF                         |          |            |            |         | +551.13    |  |  |  |  | Σ PV explicit FCF                         |  |  |  |  | +625.33    |  |  |  |  |
| + PV terminal (g 2.5%)                    |          |          |          |        | 989.01     |          |          |          |        | + PV terminal (g 3.0%)                    |          |          |          |        | 1478.55    |          |          |            |         | + PV terminal (g 3.5%)                    |          |            |            |         | 2199.98    |          |            |            |         | + PV terminal (g 4.0%)                    |          |            |            |         | 3337.49    |  |  |  |  | + PV terminal (g 4.0%)                    |  |  |  |  | 4303.76    |  |  |  |  |
| EQUITY BUILD · \$B & PER SHARE            |          |          |          |        |            |          |          |          |        | EQUITY BUILD · \$B & PER SHARE            |          |          |          |        |            |          |          |            |         | EQUITY BUILD · \$B & PER SHARE            |          |            |            |         |            |          |            |            |         | EQUITY BUILD · \$B & PER SHARE            |          |            |            |         |            |  |  |  |  | EQUITY BUILD · \$B & PER SHARE            |  |  |  |  |            |  |  |  |  |
| Operating EV                              |          |          |          |        | \$1341.16B |          |          |          |        | Operating EV                              |          |          |          |        | \$1900.16B |          |          |            |         | Operating EV                              |          |            |            |         | \$2683.13B |          |            |            |         | Operating EV                              |          |            |            |         | \$3888.62B |  |  |  |  | Operating EV                              |  |  |  |  | \$4929.09B |  |  |  |  |
| + Cash & investments                      |          |          |          |        | \$54.70B   |          |          |          |        | + Cash & investments                      |          |          |          |        | \$54.70B   |          |          |            |         | + Cash & investments                      |          |            |            |         | \$54.70B   |          |            |            |         | + Cash & investments                      |          |            |            |         | \$54.70B   |  |  |  |  | + Cash & investments                      |  |  |  |  | \$54.70B   |  |  |  |  |
| – Net debt                                |          |          |          |        | \$90.70B   |          |          |          |        | – Net debt                                |          |          |          |        | \$90.70B   |          |          |            |         | – Net debt                                |          |            |            |         | \$90.70B   |          |            |            |         | – Net debt                                |          |            |            |         | \$90.70B   |  |  |  |  | – Net debt                                |  |  |  |  | \$90.70B   |  |  |  |  |
| = Equity value                            |          |          |          |        | \$1305.16B |          |          |          |        | = Equity value                            |          |          |          |        | \$1864.16B |          |          |            |         | = Equity value                            |          |            |            |         | \$2647.13B |          |            |            |         | = Equity value                            |          |            |            |         | \$3852.62B |  |  |  |  | = Equity value                            |  |  |  |  | \$4893.09B |  |  |  |  |
| FY30 shares (M)                           |          |          |          |        | 14,600     |          |          |          |        | FY30 shares (M)                           |          |          |          |        | 14,400     |          |          |            |         | FY30 shares (M)                           |          |            |            |         | 14,100     |          |            |            |         | FY30 shares (M)                           |          |            |            |         | 13,800     |  |  |  |  | FY30 shares (M)                           |  |  |  |  | 13,500     |  |  |  |  |
| = Expected per share                      |          |          |          |        | \$89.39    |          |          |          |        | = Expected per share                      |          |          |          |        | \$129.46   |          |          |            |         | = Expected per share                      |          |            |            |         | \$187.74   |          |            |            |         | = Expected per share                      |          |            |            |         | \$279.18   |  |  |  |  | = Expected per share                      |  |  |  |  | \$362.45   |  |  |  |  |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |        |            |          |          |          |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |        |            |          |          |            |         | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |            |            |         |            |          |            |            |         | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |            |            |         |            |  |  |  |  | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |  |  |  |  |            |  |  |  |  |
| +5y                                       | +10y     | +15y     | +20y     |        | +5y        | +10y     | +15y     | +20y     |        | +5y                                       | +10y     | +15y     | +20y     |        | +5y        | +10y     | +15y     | +20y       |         | +5y                                       | +10y     | +15y       | +20y       |         | +5y        | +10y     | +15y       | +20y       |         | +5y                                       | +10y     | +15y       | +20y       |         |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| \$137.54                                  | \$211.62 | \$325.60 | \$500.98 |        | \$194.66   | \$292.71 | \$440.13 | \$661.81 |        | \$275.85                                  | \$405.32 | \$595.54 | \$875.05 |        | \$402.67   | \$580.77 | \$837.66 | \$1,208.17 |         | \$517.93                                  | \$740.10 | \$1,057.58 | \$1,511.24 |         | \$517.93   | \$740.10 | \$1,057.58 | \$1,511.24 |         | \$517.93                                  | \$740.10 | \$1,057.58 | \$1,511.24 |         |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| 0.42×                                     | 0.65×    | 0.99×    | 1.53×    |        | 0.59×      | 0.89×    | 1.34×    | 2.02×    |        | 0.84×                                     | 1.24×    | 1.82×    | 2.67×    |        | 1.23×      | 1.77×    | 2.56×    | 3.69×      |         | 1.58×                                     | 2.26×    | 3.23×      | 4.61×      |         | 1.58×      | 2.26×    | 3.23×      | 4.61×      |         | 1.58×                                     | 2.26×    | 3.23×      | 4.61×      |         |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |

Apple People · Opportunity · Context · Deal

Bear \$129.46 Base \$187.74 Bull \$279.18

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Tim Cook15 yrs in seat

0.1%LOWinsider ownershipkey-person risk

**Capital allocation (realized)**  
Tim Cook has been CEO since August 2011 (founder Steve Jobs died that year). A dated succession is now underway: announced April 2026, effective September 1, 2026, Cook becomes Executive Chairman and John Ternus (SVP Hardware Engineering, a 25-year Apple insider) becomes CEO, with Arthur Levinson moving to lead independent director. Capital allocation is best-in-class scale return: FY2025 ~\$89B buybacks + ~\$15B dividends (~\$105B total), a fresh \$100B buyback authorization, against ~\$132B cash/securities versus ~\$100B debt (~\$32B net cash) and ~\$35B R&D.

**Incentive alignment**  
Cook’s FY2025 total compensation was ~\$74M (≈\$3M salary, ~\$12M cash incentive, ~\$57M equity), with the equity majority in performance RSUs tied to relative total shareholder return. Insider selling is routine and pre-scheduled (Rule 10b5-1 / sell-to-cover on RSU vesting). Insider ownership is under 0.1% — normal for a company this size and not a flag.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no super-voting, no controlling shareholder (largest holders Vanguard ~9%, BlackRock ~8%)
- Chair and CEO are currently separated (independent Chairman Levinson) — a positive
- dated CEO succession: Cook → Executive Chairman and John Ternus → CEO effective September 1, 2026; Levinson → lead independent director (the chair role becomes a non-independent insider at that point)
- 7 of 8 directors independent; all directors elected annually (board not staggered)
- the broadest executive-leadership turnover since 2011 (CEO, COO and CFO all refilled from within in 2025-2026)

PEOPLE READ

Clean, shareholder-friendly governance: single-class one-vote stock, no controlling holder, a 7-of-8 independent board, and — uncommon among megacaps — a chair currently separate from the CEO. Key-person risk is low because succession is not just planned but executed: a named internal CEO (Ternus) takes over on a fixed date, every senior role was backfilled from within, and no individual controls the company. The one notch to watch is that the chair becomes a non-independent Executive Chairman (Cook) in September 2026.

THE FOUR LEGS

Peopleobservable composite · 1–5

OpportunityThe scenario distribution · the Page-3 business snapshot · the Arthur Indicator

ContextThe 7 Powers analysis (Power Audit)

DealOpen-market purchase = the deal: entry price vs. the scenario distribution (the ~34.5% finding) + position sizing.

Apple supporting analysis · disclaimers · glossary

Bear \$129.46 Base \$187.74 Bull \$279.18

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

**The de-rate is the multiple, not the franchise.**  
Apple is a genuine quality compounder, but a mid-single-digit grower at ~43x FCF prices safety beyond growth — even the bull only reaches ~\$279 (~4%).
- 2

**The ~\$20B Google payment is a discrete cliff.**  
It is near-pure-margin Services that must be rebid annually under the DOJ ruling; losing it directly cuts the highest-quality earnings, and the bear/ultra-bear weight it.
- 3

**AI is outsourced, not owned.**  
A custom Gemini behind the revamped Siri (~\$1B/yr to Google) makes Apple a fast-follower on foundation models; the bull needs the ecosystem to win the AI era on someone else's stack.
- 4

**Services + installed base are the quality.**  
~\$31B/quarter of Services at ~70%+ gross margin on 2.5B+ devices is durable recurring earnings — the base/bull lean on it compounding mid-teens.
- 5

**iPhone is ~half the revenue and partly pulled forward.**  
FQ2 iPhone +22% rode pent-up demand from ~315M users on 4+yr phones; a payback air-pocket is the bear's mechanism once the super-cycle clears.

FALSIFICATION TRIGGERS

Bull validation

Services growth holds mid-teens+ · iPhone upgrade cycle sustains · the Google search payment survives the rebid · gross margin defends ~47%+ · China revenue keeps reaccelerating

Bear validation

Services decelerates below ~10% · the search payment is cut or competed away · EU/US App Store fee remedies take hold · iPhone goes flat-to-down · gross margin slips below ~46%

Reframe needed

if the AI-platform shift cedes the next interface (a Gemini/agent layer that disintermediates iOS) or Services structurally stalls, re-rate the terminal toward a flat-hardware multiple - the ultra-bear's ~16x

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Services** — Apple's recurring high-margin revenue (App Store, AppleCare, advertising, payments, subscriptions; ~\$31B/quarter at ~70%+ gross margin) on a 2.5B+ device base - the quality engine.

**Installed base** — The >2.5B active Apple devices that drive Services attach and switching costs; its growth, not unit sales, anchors the mid-teens Services compounding.

**Google search payment** — The ~\$20B/yr Google pays to be the default Safari search engine - near-pure-margin Services that must be rebid annually under the DOJ ruling; a discrete cliff.

**Apple Intelligence** — Apple's AI feature set; the revamped Siri runs a custom Google Gemini model (~\$1B/yr) - AI partnered, not in-house.

**FCF margin** — Free cash flow / revenue (~24% FY25); whether the grower defends ~70%+-margin Services against the search-payment tails.